

Conclusion

Fundamental analysis holds that no investment decision should be made without processing and analyzing all relevant information. Its strength lies in the fact that the information analyzed is real as opposed to hunches or assumptions. On the other hand, while fundamental analysis deals with tangible facts, it does tend to ignore the fact that human beings do not always act rationally. Market prices do sometimes deviate from fundamentals. Prices rise or fall due to insider trading, speculation, rumour, and a host of other factors. This was eloquently stated by Gerald Loeb, the author of *The Battle for Investment Survival*, who wrote, “There is no such thing as a final answer to security values. A dozen experts will arrive at 12 different conclusions. It often happens that a few moments later each would alter his verdict if given a chance to reconsider because of a changed condition. Market values are fixed only in part by balance sheets and income statements; much more by hopes and fears of humanity; by greed, ambition, acts of God, invention, financial stress and strain, weather, discovery, fashion and numberless other causes impossible to be listed without omission”.

This is true to an extent but the strength of fundamental analysis is that an investment decision is arrived at after analyzing information and making logical assumptions and deductions. And this is where there can be differences in values — the assumptions made by different analysts would differ. Their reasoning will be based on their exposure to the market, their maturity, their knowledge and their gut feel of the market.

Furthermore, fundamental analysis ensures that one does not recklessly buy or sell shares — especially buy. One would buy a share only if its intrinsic value is higher than its book value. This also protects one against possible loss since one would dispose of a share whose market value is higher than its intrinsic value. Hence fundamental analysis supports and encourages safe investing.

No system is fool proof. No system has consistently outperformed the market. There is no system that does not call for human judgement and input. All systems require thought and some assumptions. However, of all the systems that I have experimented with and tried, the one I am most